the company experiences the type of temporary setback that is not uncommon for even the best of companies. In times of general market pessimism, this kind of “undiscounting” of some of the very finest investments can reach rather extreme levels. When it does, it affords the patient investor, with the ability to distinguish between current market image and true facts, some of the most attractive opportunities common stocks can offer for handsome long-term profits at relatively small risk.

A rather colorful example of how sophisticated investors attempt to anticipate a changed investment-community appraisal of a company occurred on March 13, 1974. The previous day the New York Stock Exchange closing price of Motorola was 48⅝. On March 13 the clos-ing quotation was 60, a gain of almost 25 percent! What had happened was that after the close of the exchange on the 12th, an announcement was made that Motorola was getting out of the television business and was selling its U.S. television plants and inventory to Matsushita, a large Japanese manufacturer, for approximate book value.

Now it had been known generally that Motorola's television busi-ness was operating at a small loss and to that extent was draining the profits of the rest of the company's business. This of itself would warrant the news to cause some increase in the price of the shares, although hardly the degree of rise that actually occurred. Considerably more complex reasoning was the main motivation behind the buying. For some time a considerable body of investors had believed that Motorola's profitable divisions, particularly its Communications Division, made this company one of the very few American electronics companies qualified as being of truly high-grade investment status. For example, Spencer Trask and Co. had issued a report by security analyst Otis Bradley that discussed the investment merits of Motorola's Communications Divi-sion in considerable detail. This report took the unusual approach of calculating the current and estimated future price-earnings ratio, not for Motorola's earnings as a whole but merely for this one division alone. The report compared the estimated sales volume and price-earnings ratio of just this one division with those of Hewlett-Packard and Perkin-Elmer, generally considered to be among the very finest of electronics companies from an investment standpoint. From the report the inference could easily be drawn (this was not specifically stated) that the investment quality of Motorola's Communications Division was such